

MSc 511 --- AOL ASSIGNMENT

- 1) Given the equilibrium on the sheet, what are the price elasticity of supply and the price elasticity of demand at the current price (This is a numerical $+.1/- .1$ in the price, multiplied by the appropriate ratio)? From a consumer standpoint what kind of good is it?
- 2) What is the income elasticity in the current equilibrium? What kind of good is this?
- 3) What is the total profit to the industry in this situation?
- 4) What is the Profit of each firm?
- 5) SCENARIO A...make a copy of your supply-demand sheet and look at the following scenario:
The Demand function shifts because 30 more people come into the market (same utility).
How much does price and quantity change? In terms of total demand does this make sense with respect to the elasticities?
- 6) SCENARIO B...make a copy of the Supply-Demand sheet...now, a third firm comes in with a production function given by $\alpha=.45$ $\beta=.4$. What happens to the equilibrium price, the total supplied, and the profit of each firm?
- 7) If firms keep entering the market what would be the long run equilibrium profit and can you tell which of these three types of firms would dominate?